

ONLINE LUXURY PORTALS PROVIDE AN ALTERNATIVE TO THE EXPERIENCE OF SHOPPING IN LUXURY BRAND STORES



items are priced exactly how they would be priced in Europe,” explains Nakul Bajaj, Founder and CEO of Darveys. A feat in Bajaj’s words, given that it has a good success rate in repeat customers. “One in every two people come back on Darveys, and that says a lot,” he says, adding the average sale price on Darveys is close to ₹22,500, and its average recurring revenue will be close to ₹100 crore by the end of this year.

AN EVOLVING LANDSCAPE

Another challenge that the online luxury portals address is to provide an alternative to the opulent experience of shopping in luxury brand stores that are limited to a few cities in India. There are not many high streets where luxury brands can put up their stores. Even the concept of having a store in five-star hotels is quite restrictive as consumers want to enter a mall type of setting where they can check out multiple stores and brands before finalising a purchase. And while customers in metros can still walk into the stores in their cities, the aspirations of non-metro shoppers are being met via online channels. “Apart from the metros and Tier I cities, we are seeing healthy growth coming from Tier II-Tier IV cities and towns. We have a healthy mix of revenue, with almost 40 per cent of our revenue coming from non-metro markets,” says Saxena of Tata CliQ Luxury. Darveys’s revenues, too, are equally derived from its metro and non-metro markets. “Even smaller cities like Agra and Ludhiana account for a decent percentage of revenue compared to all the cities we get orders from,” adds Bajaj of Darveys.

Not only that, Reliance group-owned Ajio with its Ajio Luxe play; Nykaa’s The Global Store; and Flipkart-owned Myntra’s luxury offering in partnership with Aditya Birla Fashion Retail are also present in the luxury market in India.

Shopping for luxury is not just about the cost of a product. It is also about the experience of buying it.

Right from walking into a gilded store to being greeted cheerfully and being pampered, to being offered a glass of wine, and paying attention to your smallest desire and experiencing the product—none of that is replicated when shopping online. And while there is a wide gap, e-commerce players are working towards enhancing the online luxury shopping experience. For instance, Tata CliQ Luxury introduced new experiences like the select programme and a white-glove delivery service. “Given that we have a highly engaged customer base of watch enthusiasts, we introduced assisted sales in the form of a round-the-clock chat designed to offer real-time advice to customers,” says Saxena. Moreover, consumers’ concerns regarding the authenticity of products while shopping online are comprehensibly addressed by the easy exchange and return policy.

In addition, some of the luxury e-commerce players even host sale events that enable consumers to discover and celebrate the luxe life by availing offers on the most coveted global and Indian luxury brands across categories. Some of these flagship events are timed to coincide with increased demand periods and special occasions. For example, Tata CliQ Luxury’s anniversary sale is held during the summer months when there is a fair demand for wedding purchases; and another sale is held during the festive and wedding season. “These are some of our biggest sale events that allow consumers to get access to an array of luxury brands at very attractive offers,” says Saxena.

The luxury business in India is still in its infancy, and there is a long way to go. Yet, over the past few years, e-commerce has achieved one thing that offline stores never were able to do. And that is to transcend the physical and psychological barrier of luxury shopping to make these products more accessible to more people. **BT**

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